

Contoso Corporation Employee Expense Policy & Guidelines

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1. Introduction

Contoso Corporation is committed to supporting its employees by covering reasonable business-related expenses. This policy ensures:

- Financial accountability
- Compliance with tax regulations
- Ethical spending practices
- Efficiency in processing reimbursements

This document provides detailed guidance on what expenses are allowed, limits, approval requirements, and reimbursement procedures.

2. General Expense Guidelines

Regardless of department, all expenses must meet the following criteria:

- ✓ Business-Related – Expenses should directly benefit Contoso Corporation.
- ✓ Pre-Approval Required – Some expenses require management approval.
- ✓ Receipts & Documentation – All expenses must have itemized receipts.
- ✓ Timely Submission – Expenses must be submitted within 30 days.
- ✓ Preferred Vendors – Employees should use Contoso's approved vendors.
- ✓ Compliance – Misuse of funds can lead to disciplinary action.

Prohibited Expenses:

- ✗ Personal expenses (e.g., gym memberships, personal vacations)
 - ✗ Alcohol (except for approved business entertainment)
 - ✗ Luxury accommodations without business justification
 - ✗ Unapproved donations or gifts
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3. Role-Specific Expense Policies

3.1 Executive Leadership

Examples of Approved Expenses:

- Business-class travel for flights longer than 6 hours
- High-end client entertainment (steakhouses, industry events)
- Premium hotel accommodations
- Corporate retreats & leadership summits
- Professional coaching & executive training

Approval Requirements:

- Expenses over \$5,000 require CEO/CFO approval.
- Board approval is required for non-standard expenditures.

3.2 Sales & Business Development

Examples of Approved Expenses:

- **Client dinners, entertainment, and networking events**
- **Trade shows, conferences, and lead-generation expenses**
- **Travel and lodging for customer meetings**
- **CRM and sales enablement tools**

Approval Requirements:

- **Meals & entertainment over \$200 require manager approval.**
- **Trade show participation must be pre-approved by Sales Leadership.**

3.3 Engineering & Product Teams

Examples of Approved Expenses:

- **Development tools (e.g., AWS, GitHub, Jira)**
- **Conferences (e.g., AWS Re:Invent, Google I/O)**
- **Training & certification programs**
- **Remote work equipment (monitors, keyboards)**

Approval Requirements:

- **Training expenses over \$1,000 require Director approval.**
- **Equipment purchases must go through IT procurement.**

3.4 Marketing & Advertising

Examples of Approved Expenses:

- **Paid ad campaigns (Google, LinkedIn, Facebook)**
- **Video production & creative assets**
- **Influencer partnerships & sponsorships**
- **Printing & promotional materials**

Approval Requirements:

- **Ad spends over \$10,000 require VP approval.**
 - **Influencer contracts must be reviewed by Legal.**
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3.5 Consultants & Contractors

Examples of Approved Expenses:

- Travel & lodging for on-site work
- Software & licenses required for project execution
- Subcontractor expenses (if pre-approved)

Approval Requirements:

- Expenses must be detailed in contract agreements.
 - Non-standard purchases require procurement approval.
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3.6 Customer Support & Field Services

Examples of Approved Expenses:

- Travel for customer site visits
- IT troubleshooting tools & software
- Meal per diems for overnight stays

Approval Requirements:

- Hotel expenses must stay within corporate rates.
 - Meals over \$75/day require manager approval.
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3.7 Administrative & HR Staff

Examples of Approved Expenses:

- Office supplies & business subscriptions
- Recruitment-related travel
- Team-building events (within budget limits)

Approval Requirements:

- HR must approve any hiring-related expenses.
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3.8 Remote & Hybrid Employees

Examples of Approved Expenses:

- Home office setup (desk, chair, monitor)
- High-speed internet reimbursement (up to \$50/month)
- Coworking space membership (if pre-approved)

Approval Requirements:

- All equipment purchases must follow IT policy.
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4. Travel & Lodging Expenses

4.1 Air Travel

- Economy class for domestic flights
- Business class for flights longer than 6 hours
- Must book at least 14 days in advance for cost savings

4.2 Hotel & Accommodation

- Maximum nightly rates:
 - \$200 in standard cities
 - \$350 in high-cost locations (NYC, SF)
- Luxury hotels require VP approval.

4.3 Ground Transportation

- Ride-shares (Uber, Lyft) allowed for business purposes
- Rental cars require pre-approval
- Personal vehicle mileage reimbursed at IRS rate

4.4 Meal Allowances

- Domestic: \$75/day
 - International: \$100/day
 - Alcohol is not reimbursable, except in client meetings.
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5. Client & Business Entertainment

- Reasonable expenses for client lunches/dinners
 - Sports events or concerts require VP approval
 - Gifts under \$100 allowed for business relationships
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6. Office & Work-From-Home Expenses

- Company provides office supplies as needed
- Personal purchases must be pre-approved
- Remote workers can expense \$500 for home office setup

7. Training & Professional Development

- Employees receive \$1,500/year for courses
- Certifications (AWS, PMP) are reimbursable
- Pre-approval required for any expense over \$1,000

8. IT & Equipment Purchases

- All laptops, software, and accessories must be approved by IT
- Personal use of company devices is not permitted
- Lost/stolen equipment must be reported within 24 hours

9. Expense Reimbursement Process

How to Submit an Expense:

1. Upload receipts to the Expense Management System
2. Provide a clear business justification
3. Submit within 30 days of expense date
4. Await manager approval
5. Reimbursement processed within 10 business days

10. Expense Policy Violations & Compliance

Examples of Violations:

- ✗ Submitting fraudulent receipts
- ✗ Claiming personal expenses as business expenses
- ✗ Splitting receipts to bypass approval limits
- ✗ Excessive spending beyond approved limits

Consequences of Violations:

- First Offense: Warning & required training
- Second Offense: Expense privileges revoked
- Third Offense: Possible termination & legal action

11. Appendices & FAQs

Q: Can I use my personal card for business expenses?

- Yes, but reimbursement must be requested within 30 days.

Q: What happens if I lose a receipt?

- Provide a written explanation and manager approval.

Q: Can I upgrade my flight or hotel?

- Only if it meets the policy's business justification requirements.

Final Notes

Employees must follow these policies to ensure financial integrity. If in doubt, seek manager or finance team approval before incurring expenses.

For questions, contact: finance@contoso.com.